

Question #1 of 180

Question ID: 1417961

Courtney Johnson, CFA, manages equity accounts and recommends Reliable Management to clients who ask about fixed-income investments. Reliable, in turn, provides Johnson with equity research. Johnson has not informed her equity clients, who are always very happy with Reliable's performance, of the arrangement with Reliable. Johnson has violated:

- A)** none of the Standards.
 - B)** the Standard concerning client referrals.
 - C)** the Standard concerning soft dollar arrangements.
-

Question #2 of 180

Question ID: 1417951

Russell Finley, CFA, is a managing director at Wilson Brothers and is responsible for the supervision of all trading and sales operations. Finley receives information indicating that a sales assistant made personal trades on a restricted security. According to the Standard regarding responsibilities of supervisors, the *least appropriate* action for Finley to take is to:

- A)** begin an investigation to determine the extent of the wrongdoing.
 - B)** restrict and increase the monitoring of the employee's activities at the firm.
 - C)** speak directly to the employee and attain assurance that the violation will not be repeated.
-

Question #3 of 180

Question ID: 1417944

Charlotte Stein, a CFA candidate, received a copy of a stock selection model designed by a Wall Street analyst friend, who told her she was free to use it. After reviewing the program and making some adjustments, Stein shows the new model to her supervisor. Her supervisor says she did a great job and tells Stein to incorporate the new model in her next industry review. Stein has:

- A)** violated the Standard concerning misrepresentation.

- B)** violated the Standard concerning conflicts of interest.
 - C)** not violated CFA Institute Standards of Professional Conduct.
-

Question #4 of 180

Question ID: 1417956

Justin Matthews, CFA, is chief financial officer of a bank and serves on the bank's investment committee. The majority of the committee has voted to invest in medium-term euro debt. Matthews feels very strongly that this is a poor strategy and that trends in both the exchange rate and in euro interest rates over the next year will result in large losses on the position. According to the Code and Standards, Matthews should *most appropriately*:

- A)** document his difference of opinion with the committee.
 - B)** express his concerns to the bank's chief executive officer directly.
 - C)** dissociate from the recommendation by asking that his name not be included.
-

Question #5 of 180

Question ID: 1417952

Howard Klein, CFA, supervises a group of research analysts, none of whom is a CFA charterholder or CFA candidate. He has attempted on several occasions to get his firm to adopt a compliance system to ensure that applicable laws and regulations are followed. The firm's principals, however, have never adopted his recommendations. According to CFA Institute Standards of Professional Conduct, Klein at this point:

- A)** should decline in writing to accept supervisory responsibility until his firm adopts reasonable compliance procedures.
 - B)** needs to take no action because the employees are not CFA charterholders or CFA candidates.
 - C)** must resign from the company and document in writing his reasons for doing so.
-

Question #6 of 180

Question ID: 1417947

Lisa Crocker, CFA, manages several pension accounts and directs most of her trades to Zeta Brokers, which provides excellent trade execution as well as equities research. Regional Brokers, which also has excellent trading services, has offered to execute trades for Crocker at half the commission rate she pays Zeta, but Regional does not supply equities research. If Crocker declines to switch her business from Zeta to Regional, has she violated any CFA Institute Standards of Professional Conduct?

- A)** Yes, because she has not obtained explicit permission from her clients to use Zeta.
 - B)** No, if the higher commissions are justified by the value of the research services she receives.
 - C)** Yes, because the Standard concerning loyalty, prudence, and care states that she must minimize trading costs for her accounts.
-

Question #7 of 180

Question ID: 1417953

Katrina Anderson, CFA, left her job as an account manager at RTJ Capital Management and joined Parnell Associates. Anderson did not sign a noncompete agreement at RTJ and took no RTJ property with her when she left. According to CFA Institute Standards of Professional Conduct, Anderson:

- A)** must not harm RTJ by soliciting her previous clients.
 - B)** is free to contact her previous clients at RTJ after her employment there ends.
 - C)** must seek permission from RTJ before contacting her previous clients there.
-

Question #8 of 180

Question ID: 1417945

Scott Houser, CFA, is a widely known equity analyst whose recommendations often influence share prices. Houser changes his recommendation to "Sell" on Drywall Company and distributes this recommendation only to his clients, many of whom act on the recommendation before it becomes known to the public. Has Houser violated the Code and Standards?

- A)** No.
- B)** Yes, he has violated the Standard concerning communications with clients.
- C)** Yes, he has violated the Standard concerning material nonpublic information.

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Question ID: 1417962

Isabelle Burns, CFA, is an investment advisor and holds shares of Torex in her personal account because she thinks it is undervalued. According to the CFA Institute Standards of Professional Conduct, Burns may:

- A)** recommend Torex to clients but must disclose her investment in Torex.
 - B)** not recommend Torex to clients while she has a personal investment in the stock.
 - C)** recommend Torex to clients for whom it is suitable without disclosing her investment in Torex.
-

Question #10 of 180

Question ID: 1417954

Christopher Kim, CFA, is a banker with Batts Brothers, an investment banking firm. Kim follows the energy industry and has frequent contact with industry executives. Kim is contacted by the CEO of a large oil and gas corporation who wants Batts Brothers to underwrite a secondary offering of the company's stock. The CEO offers Kim the opportunity to fly on his private jet to his ranch in Texas for an exotic game hunting expedition if Kim's firm can complete the underwriting within 90 days. According to CFA Institute Standards of Conduct, Kim:

- A)** may accept the offer as long as he discloses the offer to Batts Brothers.
 - B)** may not accept the offer because it is considered lavish entertainment.
 - C)** must obtain written consent from Batts Brothers before accepting the offer.
-

Question #11 of 180

Question ID: 1417949

Kim Vance, CFA, tells a prospective client, "Over the three years I have been in the business, my equity-oriented accounts have had a mean return of more than 20% a year." The statement is accurate, but the mean return was influenced by the account of one client realizing a large gain on a position in a small-cap company he took based on his own research. Without this account, the average gain would have been 18% per year. Has Vance violated CFA Institute Standards of Professional Conduct?

- A)** Yes, because the statement misrepresents Vance's performance.
 - B)** Yes, because returns for an equities composite must be asset-weighted.
 - C)** No, because it is accurate and Vance has not guaranteed such returns in the future.
-

Question #12 of 180

Question ID: 1417957

Joseph Drake, CFA, an investment advisor at Best Wealth Managers, has identified a growth stock that he believes has the potential to provide excellent returns over the next five years. He includes this stock on a "recommended list" that he sends to all of his clients. Drake includes recent earnings, his estimates of future earnings, and a note that more information is available on request. Drake has:

- A)** not violated the Standards.
 - B)** violated the Standard on suitability.
 - C)** violated the Standard on client communications.
-

Question #13 of 180

Question ID: 1417963

Brian Farley, CFA, is an investment manager with one client, a \$75 million university endowment fund. A representative of the endowment fund calls Farley and places a "sell" order on a portfolio holding whose management has just reduced its earnings guidance for the coming year. Farley also owns the security and, because the new guidance is public information, places simultaneous "sell" orders for both the client account and his personal account. According to the Standards on fair dealing and priority of transactions, Farley is in violation of:

- A)** both of these Standards.
 - B)** neither of these Standards.
 - C)** only one of these Standards.
-

Question #14 of 180

Question ID: 1417955

Paul White, CFA, works as an analyst at an investment banking firm that also manages equity-only accounts for clients. White has agreed independently to manage a portfolio of fixed-income securities for an endowment fund for a small fee but has not informed his employer. Additionally, White's supervisor has asked him to work this weekend on a proposal for a large IPO that must be delivered on Monday morning, but White declines as he would prefer to spend the weekend with his family. Which of White's actions violate the Standard concerning loyalty?

- A)** Both of these actions.
 - B)** Neither of these actions.
 - C)** Only one of these actions.
-

Question #15 of 180

Question ID: 1417967

Which of the following is *least likely* one of the eight major topics of the Global Investment Performance Standards (GIPS) for firms?

- A)** Composite and Pooled Fund Maintenance.
 - B)** Fundamentals of Compliance.
 - C)** Conflicts with Local Laws and Regulations.
-

Question #16 of 180

Question ID: 1417964

Gabe Klement, CFA, an analyst for HB Investments, is responsible for the valuation model for an IPO. Without his knowledge, others at HB adjusted the inputs to the model to increase the estimated value of the shares, and the offering is oversubscribed. Complying with local securities laws, Klement purchases shares of the IPO for his personal account and allocates the remaining shares to client accounts on a pro rata basis. With regard to the Standard on knowledge of the law, the analyst:

- A)** did not violate the Standard.
- B)** violated the Standard by purchasing the shares of the IPO but not by allowing the IPO valuation to be published.
- C)** violated the Standard by allowing the IPO valuation to be published and by purchasing the shares of the IPO.

Question #17 of 180

Question ID: 1417966

Green Investments utilizes the CFA Institute Standards of Professional Conduct as their standards for ethical practice. For purposes of compliance, which of the following is *least likely* a violation of Green Investments' policies?

A) One of Green Investments' marketing brochures states that several of the firm's portfolio managers passed all three levels of the CFA exam on their first attempts.

At a meeting with potential clients, Green's chief investment officer states that he is

B) among a group of the most qualified investment professionals because he holds the CFA charter.

In interviewing a prospective employee, a portfolio manager at the firm says that the

C) position could be financially rewarding because CFA charterholders are known to achieve superior performance results.

Question #18 of 180

Question ID: 1417958

Charmaine Townsend, CFA, has been managing equity portfolios for clients using a model that identifies growth companies selling at reasonable multiples. With economic growth slowing for the foreseeable future, she has decided to change to a securities selection model that emphasizes dividend income and low valuation. To comply with the Code and Standards, Townsend should *most appropriately*:

A) promptly notify her clients of the change.

B) get written permission from her clients prior to the change.

C) get written acknowledgment of the change from her clients within a reasonable period of time after the change is made.

Question #19 of 180

Question ID: 1417950

Wells Investments implements a new procedure for unsolicited trade requests that an advisor believes are inconsistent with the client's IPS:

- If the trade will have only a minimal impact on the client's portfolio, first advise the client in what way the trade deviates from the IPS, and then request the client's approval for the trade.
- If the trade will have a material impact on the risk and return characteristics of the client's portfolio, discuss with the client that this trade will require a change in the IPS.

Which of these statements is consistent with the standard concerning suitability?

- A)** Both of these statements.
 - B)** Neither of these statements.
 - C)** Only one of these statements.
-

Question #20 of 180

Question ID: 1417946

With respect to the Standard on material nonpublic information, materiality is *least likely* to be affected by:

- A)** the source of the information.
 - B)** liquidity of the subject security.
 - C)** ambiguity about the price effect of the information.
-

Question #21 of 180

Question ID: 1417959

Alberto Cosini is the top-rated, sell-side analyst in the biotechnology industry. His recommendations significantly affect prices of industry stocks regularly. Yesterday Cosini changed his rating on Biopharm from "hold" to "buy," and Cosini's firm emailed the change to its clients although no public disclosure has yet been made. If Peter Allen, CFA, who heard about Cosini's rating change for Biopharm from his brother, purchases Biopharm in his personal account, Allen will *most likely*:

- A)** not violate the Standards.
- B)** violate the Standard concerning diligence and reasonable basis.

C) violate the Standard concerning material nonpublic information.

Question #22 of 180

Question ID: 1417943

Judy Dudley, CFA, is an analyst and plans to visit a company that she is analyzing in order to prepare a research report. The Standard related to independence and objectivity:

requires Dudley to pay for her own transportation costs and not to accept any gifts
A) or compensation for writing the report, but allows her to accept accommodations and meals that are not lavish.

B) requires Dudley not to accept any compensation for writing a research report, but allows her to accept company paid transportation, lodging, and meals.

allows Dudley to accept transportation, lodging, expenses, and compensation for
C) writing a research report, but requires that she disclose such an arrangement in her report.

Question #23 of 180

Question ID: 1417960

Campbell Hill, CFA, has recently accepted the position of Chief Compliance Officer at an investment management firm. Hill distributes a memo stating that effective immediately (1) material supporting all company research reports will be kept in the company database in electronic form for 10 years, and hard copies of the same material will be maintained for one year only, and (2) hard copy records of all trade confirmations sent to clients must be kept on file for five years, the period mandated by local regulations. With respect to record retention:

A) neither of Hill's policies violates the Standards.

B) Hill's policies regarding both research reports and trade confirmations violate the Standards.

C) Hill's policy regarding research reports does not violate the Standards, but the policy regarding trade confirmations does.

Question #24 of 180

Question ID: 1417948

Dawn Shepard, CFA, is a broker for a regional brokerage firm. Her company's research department recently changed its recommendation on the common stock of Orlando (ORL) from "buy" to "sell" and sent the change to all firm clients who own ORL. The next day, a client places a "buy" order for ORL. According to the Standards, under these circumstances, Shepard:

- A)** must advise the customer of the change in recommendation before accepting the order.
 - B)** has complied with the fair dealing Standard and may accept the order because it is unsolicited.
 - C)** may accept the order only if the customer acknowledges in writing that she was notified of the change in the recommendation.
-

Question #25 of 180

Question ID: 1417965

Paul James, CFA, a retail stock broker, notices that one client in particular, Chet Young, Ph.D., is especially adept at picking stocks. James decides to replicate Young's trades in his own account after he enters them. By doing so, James:

- A)** is not in violation of any Standards.
 - B)** is in violation of the Standard on priority of transactions because he is front running the client's account.
 - C)** is in violation of the Standard on misconduct because he has misappropriated confidential client information.
-

Question #26 of 180

Question ID: 1417969

Nicholas Hart, CFA, is a portfolio manager for individuals. Last year, Hart's wife was hospitalized for several months. Despite his best efforts to pay her bills, Hart was forced to declare personal bankruptcy but did not disclose this to his clients. According to the CFA Institute Standards of Professional Conduct, Hart:

- A)** is not in violation of any Standard.

- B)** is in violation of the Standard on communication with clients for not disclosing his bankruptcy to his clients.
 - C)** is in violation of the Standard on misconduct for personal conduct that reflects adversely on his professional reputation.
-

Question #27 of 180

Question ID: 1417970

Marie Marshall, CFA, charges clients a management fee and commissions on securities transactions. Marshall receives an annual bonus based on the overall success of the firm and a quarterly bonus based on the trading volume in her clients' accounts. If Marshall does not tell clients about her compensation package, she is violating the Standard concerning:

- A)** disclosure of conflicts.
 - B)** communication with clients.
 - C)** additional compensation arrangements.
-

Question #28 of 180

Question ID: 1417968

Lunar Wealth, a subsidiary of Galaxy Financial, has prepared GIPS- compliant performance data and asks Galaxy's president about his interest in presenting GIPS- compliant performance data, but he does not believe it is a priority. Lunar may:

- A)** claim partial compliance with GIPS if Lunar's performance presentations are in compliance.
 - B)** not claim compliance with GIPS because compliance must be made on a company-wide basis.
 - C)** claim compliance with GIPS as long as Lunar is presented to the public as a distinct business entity.
-

Question #29 of 180

Question ID: 1417971

Fred Reilly, CFA, is an investment advisor. Roger Harrison, a long-term client of Reilly, decides to move his accounts to a new firm. In his review of Harrison's account history, Reilly discovers some transfers of funds from the account of Harrison's company that Reilly suspects were illegal. Which of the following actions is *most appropriate* for Reilly to take under the Standards?

- A)** Discuss his suspicions with outside counsel.
 - B)** Inform Harrison's company of the suspected illegal activities because Harrison is no longer a client.
 - C)** Do nothing because he must maintain the confidentiality of client information even after the client has left the firm.
-

Question #30 of 180

Question ID: 1417972

Ronald Rice, CFA, is the investment manager for a trust established for Selma Ross's mother. Ross selected Rice after interviewing several potential managers. From time to time, Ross calls Rice and asks him to purchase or sell shares in specific firms. Rice routinely complies with these requests without determining suitability for the trust. By doing so, Rice has *most likely*:

- A)** violated the Standard concerning loyalty, prudence, and care.
 - B)** violated the Standard concerning independence and objectivity.
 - C)** not violated the Code and Standards because he has followed the client's request.
-

Question #31 of 180

Question ID: 1417828

Depreciation of a country's currency will be more effective in reducing its trade deficit if its:

- A)** imports do not have good substitutes.
 - B)** exports are primarily luxury goods.
 - C)** exports represent a small portion of foreign consumer expenditures.
-

Question #32 of 180

Question ID: 1417841

Normal Corp. has a current ratio above 1 and a quick ratio less than 1. Which of the following actions will increase the current ratio and decrease the quick ratio? Normal Corp.:

- A)** buys fixed assets on credit.
 - B)** uses cash to purchase inventory.
 - C)** pays off accounts payable from cash.
-

Question #33 of 180

Question ID: 1417797

An analyst constructs a histogram and frequency polygon of monthly returns for aggressive equity funds over a 20-year period. Which of the following statements about these displays is *most accurate*?

- A)** The height of each bar in a frequency polygon represents the absolute frequency for each return interval.
 - B)** Both a histogram and a frequency polygon provide a graphical display of data found in a frequency distribution.
 - C)** To construct a histogram, the analyst would plot the midpoint of the return intervals on the x-axis and the absolute frequency for that interval on the y-axis, connecting neighboring points with a straight line.
-

Question #34 of 180

Question ID: 1417832

A firm has undertaken a contract with an estimated total cost of \$200 million at a price of \$220 million. At the end of the first reporting period, the firm has devoted resources of \$70 million to the project. The customer has been billed for \$80 million and made payments of \$60 million. As a result of these transactions, the firm should report revenue from this project of:

- A)** \$60 million.
- B)** \$70 million.
- C)** \$77 million.

Question #35 of 180

Question ID: 1417845

A low inventory turnover ratio in a period of declining revenue growth is *most likely* an indication that a firm may have:

- A) obsolete inventory.
 - B) too little inventory.
 - C) efficient inventory management.
-

Question #36 of 180

Question ID: 1417820

According to the crowding-out effect, the sale of government bonds used to finance excess government spending is *least likely* to:

- A) increase the real interest rate.
 - B) reduce private investment spending.
 - C) increase the profitability of corporate investment projects.
-

Question #37 of 180

Question ID: 1417810

An analyst has data on institutional salespeople at an investment banking firm showing how they ranked in total monthly commissions, from first to eighth. To determine whether a high rank in one month indicates a high probability of achieving a high rank in subsequent months, the analyst should use a:

- A) *t*-test.
 - B) nonparametric test.
 - C) mean differences test.
-

Question #38 of 180

Question ID: 1417848

Selected items from the financial statements of three plumbing fixture manufacturers appear in the following table. All three firms use straight-line depreciation for financial reporting.

	Robbco	Sammco	Teddco
PP&E at historical cost	\$10,000,000	\$12,000,000	\$18,000,000
Accumulated depreciation	6,000,000	8,000,000	9,000,000
Net PP&E	4,000,000	4,000,000	9,000,000
Depreciation expense (latest period)	800,000	1,000,000	1,500,000

Based only on these data, which firm is *most likely* to require significant capital expenditures sooner than the others?

- A) Robbco.
- B) Sammco.
- C) Teddco.

Question #39 of 180

Question ID: 1417851

For an operating lease, the value of the right-to-use asset and the lease liability on the lessee's balance sheet will be equal in each reporting period over the term of the lease under:

- A) IFRS, but not U.S. GAAP.
- B) U.S. GAAP, but not IFRS.
- C) both IFRS and U.S. GAAP.

Question #40 of 180

Question ID: 1417849

On January 2, a company acquires some state-of-the-art production equipment at a net cost of \$14 million. For financial reporting purposes, the firm will depreciate the equipment over a 7-year life using straight-line depreciation and a zero salvage value; for tax reporting purposes, however, the firm will use straight-line depreciation over a 3-year life. Given a tax rate of 35%, by how much will the company's deferred tax liability increase in the first year of the equipment's life?

- A) \$933,500.
 - B) \$1,064,800.
 - C) \$1,730,300.
-

Question #41 of 180

Question ID: 1417817

Based on her forecast for the economy, a portfolio manager increases her investments in high-quality bonds and decreases her investments in commodities. The portfolio manager *most likely* expects the economy to experience:

- A) stagflation.
 - B) a recessionary gap.
 - C) an inflationary gap.
-

Question #42 of 180

Question ID: 1417795

If an investment of \$4,000 will grow to \$6,520 in four years with monthly compounding, the effective annual interest rate will be *closest* to:

- A) 11.2%.
 - B) 12.3%.
 - C) 13.0%.
-

Question #43 of 180

Question ID: 1417807

Which of the following statements about the central limit theorem is *least accurate*?

- A) The central limit theorem has limited usefulness for skewed distributions.
 - B) The mean of the population and the mean of all possible sample means are equal.
 - C) When the sample size is large, the sampling distribution of the sample means is approximately normal.
-

Question #44 of 180

Question ID: 1417854

When comparing two firms, an analyst should *most* appropriately adjust the financial statements when they include significant:

- A) acquisition goodwill, if one of the firms reports under IFRS and the other under U.S. GAAP.
 - B) property, plant, and equipment, if one of the firms uses accelerated depreciation and the other uses straight-line depreciation.
 - C) unrealized losses from securities held for trading, if one of the firms uses fair value reporting for securities investments and the other does not.
-

Question #45 of 180

Question ID: 1417818

An analyst who is interested in the core inflation rate should *most appropriately* examine a price index:

- A) for wholesale goods.
 - B) that uses hedonic pricing.
 - C) that excludes food and energy.
-

Question #46 of 180

Question ID: 1417835

A U.S. GAAP reporting company holds a number of marketable securities as investments. For the most recent period, the company reports that the market value of its securities held for trading decreased by \$2 million and the market value of its securities available for sale increased in value by \$3 million. Together, these changes in value will:

- A)** reduce net income and shareholders' equity by \$2 million.
 - B)** increase shareholders' equity by \$1 million and have no effect on net income.
 - C)** reduce net income by \$2 million and increase shareholders' equity by \$1 million.
-

Question #47 of 180

Question ID: 1417839

Maritza, Inc., is involved in an exchange of debt for equity. In which of the following sections of the cash flow statement would Maritza record this transaction?

- A)** Investing activities section.
 - B)** Financing activities section.
 - C)** Footnotes to the cash flow statement.
-

Question #48 of 180

Question ID: 1417806

Which of the following distributions is *most likely* symmetric if its degrees of freedom are less than five?

- A)** F-distribution.
 - B)** Chi-square distribution.
 - C)** Student's *t*-distribution.
-

Question #49 of 180

Question ID: 1417809

Which of the following statements about hypothesis testing involving a z-statistic is *least accurate*?

- A) The p -value is the smallest significance level at which the null hypothesis can be rejected.
- B) A z -test is theoretically acceptable in place of a t -test for tests concerning a mean when sample size is small.
- C) If the confidence level is set at 95%, the probability of rejecting the null hypothesis when in fact it is true is 5%.
-

Question #50 of 180

Question ID: 1417824

Which of the following statements on the economic implications of trade restrictions is *most accurate*?

- A) Quota rents are the amounts received by the domestic government when it charges for import licenses.
- B) In the importing country, import quotas, tariffs, and voluntary export restraints all decrease producer surplus.
- C) In the case of a quota, if the domestic government collects the full value of the import licenses, the result is the same as that of a tariff.
-

Question #51 of 180

Question ID: 1417844

Rowlin Corporation, which reports under IFRS, wrote down its inventory of electronic parts last period from its original cost of €28,000 to net realizable value of €25,000. This period, inventory at net realizable value has increased to €30,000. Rowlin should revalue this inventory to:

- A) €28,000, and report a gain of €3,000 on the income statement.
- B) €30,000, and report a gain of €3,000 on the income statement.
- C) €30,000, and report a gain of €5,000 on the income statement.
-

Question #52 of 180

Question ID: 1417812

Demand for gasoline (in hundreds of liters) at a particular station, as a function of the price of gasoline and the price of bus travel, is $Q_D = 300 - 14 P_{\text{gas}} + 2 P_{\text{bus}}$. If the price of gasoline per liter (P_{gas}) is 1.50 euros, and the price of a standardized unit of bus travel (P_{bus}) is 12 euros, the cross price elasticity of gasoline demand with respect to the price of bus travel is *closest* to:

- A) 0.01.
 - B) 0.08.
 - C) 2.00.
-

Question #53 of 180

Question ID: 1417803

An investment has a mean return of 15% and a standard deviation of returns equal to 10%. If the distribution of returns is approximately normal, which of the following statements is *least accurate*? The probability of obtaining a return:

- A) less than 5% is about 16%.
 - B) greater than 35% is about 2.5%.
 - C) between 5% and 25% is about 95%.
-

Question #54 of 180

Question ID: 1417813

A market has the following characteristics: a large number of independent sellers, each producing a differentiated product; low barriers to entry; producers facing downward sloping demand curves; and demand that is highly elastic. This description *most* closely describes:

- A) an oligopoly.
 - B) pure competition.
 - C) monopolistic competition.
-

Question #55 of 180

Question ID: 1417836

Listed debt securities owned by a company, for which the company intends to collect interest payments and sell the securities, must be carried at fair value with gains and losses reported as other comprehensive income under:

- A) IFRS only.
 - B) U.S. GAAP only.
 - C) both U.S. GAAP and IFRS.
-

Question #56 of 180

Question ID: 1417830

Which of the following statements regarding an audit and a standard auditor's opinion is *most accurate*?

- A) The objective of an audit is to enable the auditor to provide an opinion on the numerical accuracy of the financial statements.
 - B) To provide an independent review of a company's financial statements, an external auditor is appointed by the company's management.
 - C) The absence of an explanatory paragraph in the audit report relating to the going concern assumption suggests that there are no serious problems that require a close examination of that assumption by the analyst.
-

Question #57 of 180

Question ID: 1417846

Two growing firms are identical except that Alfred Company capitalizes costs for some long-lived assets that Canute Company expenses. Alfred is *most likely* to show higher:

- A) net income than Canute.
 - B) working capital than Canute.
 - C) investing cash flow than Canute.
-

Question #58 of 180

Question ID: 1417802

The probability that a fund manager will produce returns in excess of the returns on the S&P 500 index in any one year is 45%. The probability that the manager will produce returns in excess of the returns on the S&P 500 index in 4 or 5 of the next five years is *closest to*:

- A) 11.3%.
 - B) 13.1%.
 - C) 16.3%.
-

Question #59 of 180

Question ID: 1417826

One year ago, the currency of Xyland (XYZ) was at a three-month forward premium to the currency of Piqua (PQR). Today, the XYZ is at a three-month forward discount to the PQR. Assuming the interest rate forward parity relationship holds, this change implies that:

- A) the XYZ has depreciated relative to the PQR.
 - B) today the XYZ three-month interest rate is higher than the PQR three-month interest rate.
 - C) one year ago the XYZ three-month interest rate was higher than the PQR three-month interest rate.
-

Question #60 of 180

Question ID: 1417819

Open market sales of securities by a country's central bank will *most likely* result in:

- A) decreasing short-term interest rates.
 - B) appreciation of the domestic currency.
 - C) an increasing growth rate of real GDP.
-

Question #61 of 180

Question ID: 1417838

Time-series analysis of a firm's common-size balance sheets reveals the following data:

	20X3	20X4	20X5
Current assets	20%	22%	25%
Inventory	8%	9%	11%
Short-term debt	10%	11%	12%
Long-term debt	24%	21%	18%

Based only on the data provided, an analyst can conclude that the firm's:

- A) debt ratio is decreasing.
 - B) quick ratio is decreasing.
 - C) inventory/sales ratio is increasing.
-

Question #62 of 180

Question ID: 1417840

Which of the following statements about the analysis of cash flows is *least accurate*?

- A) Interest payments on debt are not a financing cash flow under U.S. GAAP.
 - B) Both the direct and indirect methods involve adding back noncash items such as depreciation and amortization.
 - C) When using the indirect method, an analyst should add any losses on the sales of fixed assets to net income.
-

Question #63 of 180

Question ID: 1417796

An investor wants to receive \$10,000 annually for ten years with the first payment five years from today. If the investor can earn a 14% annual return, the amount that she will have to invest today is *closest* to:

- A) \$27,091.
- B) \$30,884.
- C) \$52,161.

Question #64 of 180

Question ID: 1417814

An advantage of the Herfindahl-Hirschman Index (HHI) over the N-firm concentration ratio as a summary measure of the market structure of an industry is that the HHI is more sensitive to:

- A)** mergers.
 - B)** barriers to entry.
 - C)** elasticity of demand.
-

Question #65 of 180

Question ID: 1417821

Reasons why the unemployment rate is a lagging indicator of the business cycle *least likely* include:

- A)** discouraged workers who begin seeking work.
 - B)** action lag in the implementation of unemployment insurance.
 - C)** high costs to employers of frequently hiring or firing employees.
-

Question #66 of 180

Question ID: 1417837

For which of the following investments in securities is a firm *most likely* to report unrealized gains or losses on its income statement?

- A)** Preferred stock, which the firm classifies as available-for-sale.
 - B)** Five-year bonds, which the firm purchased in a private placement.
 - C)** Listed call options, which the firm intends to exercise at expiration.
-

Question #67 of 180

Question ID: 1417799

An analyst obtains the following annual returns for a group of stocks: 10%, 8%, 7%, 9%, 9%, 12%,

11%, 9%, 30%, and 15%. This distribution:

- A)** has a median greater than its mode.
 - B)** is skewed to the right, and the mean is less than the median.
 - C)** is skewed to the right, and the mean is greater than the mode.
-

Question #68 of 180

Question ID: 1417833

Consider a manufacturing company and a financial services company. Interest expense is *most likely* classified as a non-operating component of net income for:

- A)** both of these companies.
 - B)** neither of these companies.
 - C)** only one of these companies.
-

Question #69 of 180

Question ID: 1417831

The two primary assumptions in preparing financial statements under IFRS are:

- A)** accrual accounting and going concern.
 - B)** reasonable accuracy and accrual accounting.
 - C)** going concern and reasonable accuracy.
-

Question #70 of 180

Question ID: 1417853

Forman, Inc., and Swift, Inc., both operate within the same industry. Forman's stated strategy is to differentiate its premium products relative to its competitors, while Swift is a low-cost producer. Given the companies' stated strategies, Forman *most likely* has:

- A) higher gross margins relative to Swift.
 - B) lower advertising expenses relative to Swift.
 - C) lower research and development expenses relative to Swift.
-

Question #71 of 180

Question ID: 1417827

Consider two currencies, the WSC and the BDR. The spot WSC/BDR exchange rate is 2.875, the 180-day riskless WSC rate is 1.5%, and the 180-day riskless BDR rate is 3.0%. The 180-day forward exchange rate that will prevent arbitrage profits is *closest* to:

- A) 2.833 WSC/BDR.
 - B) 2.854 WSC/BDR.
 - C) 2.918 WSC/BDR.
-

Question #72 of 180

Question ID: 1417800

Which of the following statements about probability concepts is *most accurate*?

- A) Subjective probability is a probability that is based on personal judgment.
 - B) A conditional probability is the probability that two or more events happen concurrently.
 - C) An empirical probability is one based on logical analysis rather than on observation or personal judgment.
-

Question #73 of 180

Question ID: 1417834

An analyst gathered the following data about a company:

- 1,000 common shares are outstanding (no change during the year).
- Net income is \$5,000.
- The company paid \$500 in preferred dividends.
- The company paid \$600 in common dividends.
- The average market price of their common stock is \$60 for the year.
- The company had 100 warrants (for one share each) outstanding for the entire year, exercisable at \$50.

The company's diluted earnings per share is *closest* to:

- A)** \$4.42.
 - B)** \$4.55.
 - C)** \$4.83.
-

Question #74 of 180

Question ID: 1417829

Which of the following sources of information should an analyst consider the *least* reliable?

- A)** Form 10-Q.
 - B)** Proxy statement.
 - C)** Corporate press release.
-

Question #75 of 180

Question ID: 1417816

A perfectly elastic aggregate supply curve represents:

- A)** the productive capacity of an economy at full employment.
 - B)** the production decisions of firms only in the very short run.
 - C)** the short-run relationship between output and the price level.
-

Question #76 of 180

Question ID: 1417811

A hypothesis test of whether an independent variable explains a significant amount of the variation in the dependent variable is *most* appropriately constructed using a hypothesized value of a regression line's:

- A) intercept.
 - B) error term.
 - C) slope coefficient.
-

Question #77 of 180

Question ID: 1417798

The median of a distribution is *least likely* equal to:

- A) the second quartile.
 - B) the third quintile.
 - C) the fifth decile.
-

Question #78 of 180

Question ID: 1417847

A company takes a \$10 million impairment charge on a depreciable asset in 20X3. The *most likely* effect will be to:

- A) increase reported net income in 20X4.
 - B) decrease net income and taxes payable in 20X3.
 - C) increase return on equity and operating cash flow in 20X4.
-

Question #79 of 180

Question ID: 1417823

The country of Colfax can produce 15 units of rice or 10 units of plastic per day of labor. The country of Birklund can produce 18 units of rice or 12 units of plastic per day of labor. With regard to potential benefits of trading rice and plastic between Colfax and Birklund:

- A) there are no potential gains from trade.
 - B) Colfax should produce and trade rice for Birklund's plastic.
 - C) Birklund should produce and trade rice for Colfax's plastic.
-

Question #80 of 180

Question ID: 1417822

The public sector is *most likely* to increase as a proportion of economic output if fiscal policy:

- A) and monetary policy are both expansionary.
 - B) is contractionary and monetary policy is expansionary.
 - C) is expansionary and monetary policy is contractionary.
-

Question #81 of 180

Question ID: 1417825

Unlike members of free trade areas, customs union members:

- A) adopt a single currency.
 - B) remove barriers to trade with all members.
 - C) adopt uniform trade restrictions with non-members.
-

Question #82 of 180

Question ID: 1420061

Xanos Corporation faced a 50% marginal tax rate last year and showed the following financial and tax reporting information:

- Deferred tax asset of 1,000.
- Deferred tax liability of 5,000.

Based only on this information and the news that the tax rate will decline to 40%, Xanos Corporation's deferred tax:

- A) asset will be reduced by 400 and deferred tax liability will be reduced by 2,000.

- B)** liability will be reduced by 1,000 and income tax expense will be reduced by 800.
 - C)** asset will be reduced by 200 and income tax expense will be reduced by 1,000.
-

Question #83 of 180

Question ID: 1417801

Alex White, CFA, is examining a portfolio that contains 100 stocks that are either value or growth stocks. Of these 100 stocks, 40% are value stocks. The previous portfolio manager had selected 70% of the value stocks and 80% of the growth stocks. What is the probability of selecting a stock at random that is either a value stock or was selected by the previous portfolio manager?

- A)** 28%.
 - B)** 76%.
 - C)** 88%.
-

Question #84 of 180

Question ID: 1417804

Which of the following statements about the normal distribution is *least accurate*? The normal distribution:

- A)** has a mean of zero and a standard deviation of one.
 - B)** is completely described by its mean and standard deviation.
 - C)** is bell-shaped, with tails extending without limit to the left and to the right.
-

Question #85 of 180

Question ID: 1417852

The ratio of operating cash flow to net income is *most likely* to indicate low quality of earnings when it is:

- A)** less than one.
- B)** highly variable.
- C)** increasing over time.

Question #86 of 180

Question ID: 1417815

A natural monopoly is *most likely* to exist when:

- A)** economies of scale are great.
 - B)** average total cost increases as output increases.
 - C)** a single firm owns essentially all of a productive resource.
-

Question #87 of 180

Question ID: 1417805

A manager forecasts a bond portfolio return of 10% and estimates a standard deviation of annual returns of 4%. Assuming a normal returns distribution and that the manager is correct, there is:

- A)** a 90% probability that the portfolio return will be between 3.2% and 17.2%.
 - B)** a 95% probability that the portfolio return will be between 2.16% and 17.84%.
 - C)** a 32% probability that the portfolio return will be between 6% and 14%.
-

Question #88 of 180

Question ID: 1417842

Al Pike, CFA, is analyzing Red Company by projecting pro forma financial statements. Pike expects Red to generate sales of \$3 billion and a return on equity of 15% in the next year. Pike forecasts that Red's total assets will be \$5 billion and that the company will maintain its financial leverage ratio of 2.5. Based on these forecasts, Pike should project Red's net income to be:

- A)** \$100 million.
 - B)** \$300 million.
 - C)** \$500 million.
-

Question #89 of 180

Question ID: 1417843

During a period of falling costs of manufacturing, which of the following inventory cost methods would result in the greatest reported net income?

- A) LIFO.
 - B) FIFO.
 - C) Average cost.
-

Question #90 of 180

Question ID: 1417808

Which of the following statements about sampling and estimation is *least accurate*?

- A) Sampling error is the difference between the observed value of a statistic and the value it is intended to estimate.
 - B) A simple random sample is a sample obtained in such a way that each element of the population has an equal probability of being selected.
 - C) The central limit theorem states that the sample mean for a large sample size will have a distribution that is the same as the distribution of the underlying population.
-

Question #91 of 180

Question ID: 1417870

Rodgers, Inc., has fixed operating expenses of \$2 million and will break even with sales of \$5 million. For sales of \$7 million, an analyst would estimate the firm's operating income as:

- A) \$800,000.
 - B) \$1,200,000.
 - C) \$2,000,000.
-

Question #92 of 180

Question ID: 1417868

Weights to be used in calculating a company's weighted average cost of capital are *least appropriately* based on:

- A) information from the company about its target capital structure.
 - B) the average capital structure weights for companies of a similar size.
 - C) the average capital structure weights for companies in the same industry.
-

Question #93 of 180

Question ID: 1417934

A security's beta is *best* estimated by the slope of:

- A) the capital market line.
 - B) the security market line.
 - C) the security's characteristic line.
-

Question #94 of 180

Question ID: 1417940

Which of the following is *most* appropriately termed an emotional bias?

- A) Status quo bias.
 - B) Mental accounting bias.
 - C) Anchoring and adjustment bias.
-

Question #95 of 180

Question ID: 1417938

In choosing asset classes for establishing strategic portfolio allocation across assets, the manager would *most* prefer that:

- A) asset classes are only those with tradable liquid assets.
 - B) the asset classes span the broadest universe of investable assets.
 - C) correlations of asset returns within an asset class are significantly greater than correlations of asset class returns.
-

Question #96 of 180

Question ID: 1417863

The *most appropriate* method to estimate a company's cost of debt capital is to use:

- A) a weighted average of the coupon rates on all the company's outstanding debt.
 - B) the yield to maturity on bonds of other companies with the same credit rating as the company's bonds.
 - C) the average rate market rate on outstanding company bonds for a company that issues only floating-rate bonds.
-

Question #97 of 180

Question ID: 1417867

A company is *most likely* to have a high proportion of equity in its capital structure if the company exhibits:

- A) high operating risk.
 - B) a low but stable growth rate of cash flows.
 - C) assets that are primarily marketable securities.
-

Question #98 of 180

Question ID: 1417941

A bank estimates the expected value of a one-month loss that exceeds ¥100 million to be ¥300 million. The ¥300 million estimate is *best* described as:

- A) a value at risk.
 - B) a conditional VaR.
 - C) a scenario-based VaR.
-

Question #99 of 180

Question ID: 1417861

From a liquidity management perspective, an increase in the number of days of payables is *best* described as:

- A) liquidity neutral.
 - B) a pull on liquidity.
 - C) a source of liquidity.
-

Question #100 of 180

Question ID: 1417857

Investing in a project that will help achieve a particular social or environmental objective is *most accurately* described as an example of:

- A) impact investing.
 - B) positive screening.
 - C) responsible investing.
-

Question #101 of 180

Question ID: 1417865

When computing weighted average cost of capital (WACC), what is the correct treatment of flotation costs, related to raising additional equity capital?

- A) Increase the discount rate to account for flotation costs.
 - B) Adjust the initial project costs by the amount of the flotation costs.
 - C) Flotation costs are not substantial enough to be considered in adjusting the cost of equity.
-

Question #102 of 180

Question ID: 1417933

Given the following correlation matrix, a risk-averse investor would *least* prefer which of the following 2-stock portfolios (all else equal)?

Stock	W	X	Y	Z
W	+1			
X	-0.2	+1		
Y	+0.6	-0.1	+1	
Z	+0.8	-0.3	+0.5	+1

- A) W and Y.
 - B) X and Y.
 - C) X and Z.
-

Question #103 of 180

Question ID: 1417935

A portfolio manager who is comparing portfolios based on their total risk should *most appropriately* use:

- A) Jensen's alpha.
 - B) the Sharpe ratio.
 - C) the Treynor measure.
-

Question #104 of 180

Question ID: 1417859

Which of the following is *least likely* an advantage of using IRR to evaluate a project, compared to using the project's net present value? An IRR:

- A) is a percentage return.
 - B) can accommodate irregular cash inflows and outflows.
 - C) is useful for ranking projects with equal initial outlays.
-

Question #105 of 180

Question ID: 1417936

Which of the following statements about the security market line (SML) and capital market line (CML) is *most accurate*?

- A) The SML involves the concept of a risk-free asset, but the CML does not.
 - B) The SML uses beta, but the CML uses standard deviation as the risk measure.
 - C) Both the SML and CML can be used to explain a stock's expected return.
-

Question #106 of 180

Question ID: 1417855

Which of the following practices is *most likely* to support the interests of minority shareholders?

- A) Two-tier board.
 - B) Staggered board.
 - C) Cumulative voting.
-

Question #107 of 180

Question ID: 1417931

Which of the following portfolios will have the lowest diversification ratio? A portfolio of:

- A) 30 equally-weighted stocks with companies from the same industry.
 - B) 20 equally-weighted stocks with companies from different industries.
 - C) 30 equally-weighted stocks with companies from different industries.
-

Question #108 of 180

Question ID: 1417871

The uncertainty about a firm's expected operating income is *most* appropriately referred to as:

- A) sales risk.
- B) business risk.

C) operating risk.

Question #109 of 180

Question ID: 1417866

To derive the cost of equity for a thinly traded public company, Paul Dufray is estimating an asset beta for a comparable firm. In addition to the beta of the comparable firm, Dufray will need to estimate its:

- A) sales risk and financial risk.
 - B) debt-to-equity ratio and tax rate.
 - C) operating leverage and financial leverage.
-

Question #110 of 180

Question ID: 1417856

Stakeholder theory is *most accurately* described as the belief that corporate governance should focus on managing:

- A) the activities of a company in the best interests of its owners.
 - B) employee activities in compliance with ethical standards and applicable laws.
 - C) conflicts among different groups that have an interest in a company's activities.
-

Question #111 of 180

Question ID: 1417939

In a case where a client's ability to bear risk is significantly less than the client's expressed willingness to bear risk, the *most appropriate* action for a financial advisor is to:

- A) counsel the client and attempt to change his attitude towards risk.
 - B) base the assessment of risk tolerance in the IPS on client's ability to bear risk.
 - C) attempt to educate the client about investment risk and correct any misconceptions.
-

Question #112 of 180

Question ID: 1417937

Which of the following statements about risk is *most accurate*?

- A) The capital market line plots expected return against market risk.
 - B) The efficient frontier plots expected return against unsystematic risk.
 - C) The security market line plots expected return against systematic risk.
-

Question #113 of 180

Question ID: 1417862

Which of the following indicators of a firm's liquidity position is *least* desirable?

- A) Low operating cycle.
 - B) High inventory turnover.
 - C) High cash conversion cycle.
-

Question #114 of 180

Question ID: 1417869

Other things being equal, a company is *most likely* to issue additional debt if:

- A) the alternative is to rely on internally generated capital.
 - B) doing so will only change its corporate bond rating from BBB to BB.
 - C) it is funding an acquisition that will generate significant cash flows.
-

Question #115 of 180

Question ID: 1417860

CPM Industries invested \$300 million in new manufacturing equipment. The present value of the future after-tax cash flows from this project is \$500 million. CPM has 100 million shares of outstanding common stock and currently trades for \$24 per share. Assuming this project is new information and is independent of other expectations about the company, the stock price should theoretically:

- A) decrease to \$23.

B) increase to \$26.

C) increase to \$27.

Question #116 of 180

Question ID: 1417942

The type of technical analysis chart *most likely* to be useful for intermarket analysis is a:

A) candlestick chart.

B) volume chart.

C) relative strength chart.

Question #117 of 180

Question ID: 1417864

Parker, Inc. has the following securities outstanding:

- 100,000 shares of preferred stock that pays an annual dividend of \$2.00, trading at \$35.
- \$5,000,000 face value 6% bonds with a YTM of 6%.
- 1 million shares of common stock trading at \$28 per share.

Parker's cost of equity is 8% and its tax rate is 30%. The discount rate that Parker's management should use when evaluating new capital investments is *closest* to:

A) 7.00%.

B) 7.25%.

C) 7.50%.

Question #118 of 180

Question ID: 1417858

Bear Company produces gravel-hauling equipment. The company recently began producing the Mauler, a new line of equipment. Prior to beginning production of the Mauler, the company spent \$10 million in research and development costs. Bear expects the Mauler line to generate positive cash flows beginning in the fourth year. However, Bear is forecasting a one-time expense in year 5 to comply with new government emission standards. The company will use an empty building it already owns to produce the Mauler. When analyzing the project cash flows for the Mauler, Bear should *least appropriately* include:

- A) the use of the empty building.
 - B) the research and development cost.
 - C) the compliance cost for emissions standards.
-

Question #119 of 180

Question ID: 1417932

Rolly Parker, CFA, has managed the retirement account funds for Misto Inc. for the last two years. Contributions and withdrawals from the account are decided by Misto's CFO. The account history is as follows, with account values calculated before same-date deposits and withdrawals:

Jan 1, 20X1	Beginning portfolio value	\$10 million
Jul 1, 20X1	Account value	\$11.2 million
Jul 1, 20X1	Deposit of cash	\$1.2 million
Jan 1, 20X2	Account value	\$12.5 million
Jan 1, 20X2	Withdrawal of cash	\$0.6 million
Dec 31, 20X2	Account value	\$15 million

The appropriate annual return to use in evaluating the manager's performance is *closest* to:

- A) 9%.
 - B) 19%.
 - C) 22%.
-

With regard to environmental, social, and governance (ESG) considerations, which of the following statements is *most accurate*?

- A) Fiduciary duty requires managers to integrate their clients' ESG-related considerations into investment decisions.
 - B) Integrating ESG factors into the analysis of a company's risk and return characteristics is not considered a violation of fiduciary duty.
 - C) A "values-based" objective involves investing in companies that have ESG-related opportunities that are not fully reflected in their share prices.
-

Question #121 of 180

Question ID: 1417886

With respect a dividend payment, which of the following dates occurs first?

- A) The record date.
 - B) The payment date.
 - C) The ex-dividend date.
-

Question #122 of 180

Question ID: 1417893

Compared to corporate bonds, secondary market trading in government bonds is *most likely* to feature:

- A) brokered markets.
 - B) earlier trade settlement.
 - C) narrower bid-ask spreads.
-

Question #123 of 180

Question ID: 1417919

How does the cost of holding the underlying asset affect option values?

- A) Decreases both call and put values.

- B)** Decreases call values and increases put values.
 - C)** Increases call values and decreases put values.
-

Question #124 of 180

Question ID: 1417921

Assume most hedge funds have a 2-and-20 fee structure and most funds of funds have a 1-and-10 fee structure. Over a long investment horizon, compared to net returns from investing directly in hedge funds, net returns from investing in funds of funds are *most likely* to be:

- A)** lower.
 - B)** higher.
 - C)** the same.
-

Question #125 of 180

Question ID: 1417883

A company is *most likely* to earn economic profits if it is operating in an industry characterized by:

- A)** high industry concentration, high barriers to entry, and low industry capacity.
 - B)** low industry concentration, low barriers to entry, and low industry capacity.
 - C)** low industry concentration, high barriers to entry, and high industry capacity.
-

Question #126 of 180

Question ID: 1417884

Among the types of factors that influence industry growth and profitability, the one that is *most likely* to affect consumer discretionary goods producers more than consumer staples producers is:

- A)** social factors.
- B)** demographic factors.
- C)** macroeconomic factors.

Question #127 of 180

Question ID: 1417905

An investor buys an option-free bond that has a Macaulay duration of 15.0 and a modified duration of 14.5. If the rate of return on reinvested coupon income is 4.0% and the bond is sold after three years, the investor's annualized holding period return is *most likely* to be:

- A) equal to the bond's yield to maturity at the time of purchase.
 - B) less than the bond's yield to maturity at the time of purchase.
 - C) greater than the bond's yield to maturity at the time of purchase.
-

Question #128 of 180

Question ID: 1417895

A 10%, 10-year bond is sold to yield 8%. One year passes, and the yield remains unchanged at 8%. Holding all other factors constant, the bond's price during this period will have:

- A) increased.
 - B) decreased.
 - C) remained constant.
-

Question #129 of 180

Question ID: 1417930

Which of the following real estate investments is *most likely* to be characterized by illiquidity?

- A) Commercial property.
 - B) Real estate investment trusts.
 - C) Residential mortgage-backed securities.
-

Question #130 of 180

Question ID: 1417917

If a plain vanilla interest rate swap is replicated with a series of forward rate agreements (FRAs), at initiation, each FRA must have a forward rate equal to the swap's:

- A)** fixed rate and must have a value of zero.
 - B)** floating rate and must have a value of zero.
 - C)** fixed rate but may have a non-zero value.
-

Question #131 of 180

Question ID: 1417906

The return impact of a 25 basis point widening in yield for an option-free bond is greatest if it has a duration of:

- A)** 4 and convexity of 24.
 - B)** 5 and convexity of 32.
 - C)** 6 and convexity of 90.
-

Question #132 of 180

Question ID: 1417878

Which form of the efficient markets hypothesis (EMH) implies that an investor can achieve positive abnormal returns on average by using technical analysis?

- A)** None.
 - B)** Weak form.
 - C)** Weak form or semistrong form.
-

Question #133 of 180

Question ID: 1417892

An analyst is considering a bond for purchase. The bond has a coupon that resets semiannually and is determined by the following formula:

$$\text{coupon} = 12\% - (3.0 \times 6\text{-month Treasury bill rate})$$

This bond is *most* accurately described as:

- A) a step-up note.
 - B) an inverse floater.
 - C) an inflation protected security.
-

Question #134 of 180

Question ID: 1417901

Asset-backed securities with a lockout period are *most likely* to be backed by:

- A) automobile loans.
 - B) home-equity loans.
 - C) credit card receivables.
-

Question #135 of 180

Question ID: 1417872

An investor has long exposure to the risk of the asset underlying an option when taking:

- A) a short position in a put option.
 - B) a short position in a call option.
 - C) a long position in a put option.
-

Question #136 of 180

Question ID: 1417873

Porter, Inc., sells 200,000 newly issued shares to two institutions without registering the shares with its country's securities regulators. This transaction is *best* described as being:

- A) illegal.
 - B) in the primary market.
 - C) in the secondary market.
-

Question #137 of 180

Question ID: 1417879

Roger Templeton, CFA, an analyst for Bridgetown Capital Management, is studying past market data to identify risk factors that produce anomalous returns. He tests monthly data on each of 60 financial and economic variables over a 15-year period to find which ones are related to stock index returns. Templeton identifies three variables that show statistically significant relationships with equity returns at a 95% confidence level. What is the *most likely* reason why Bridgetown's management should be skeptical of the anomalies Templeton has identified? The results may suffer from:

- A) data snooping bias.
 - B) survivorship bias.
 - C) small sample bias.
-

Question #138 of 180

Question ID: 1417929

Commodities differ from other alternative investments in that:

- A) returns are due only to price changes.
 - B) specialized funds are available as an investment vehicle.
 - C) they have a low correlation of returns with traditional investments.
-

Question #139 of 180

Question ID: 1417911

A basis swap may be structured as:

- A) a contingent claim only.

- B) a forward commitment only.
 - C) either a contingent claim or a forward commitment.
-

Question #140 of 180

Question ID: 1417900

For an asset-backed security (ABS), a special purpose entity:

- A) sells an asset to the issuing corporation, which then proceeds to issue the ABS.
 - B) is used to separate assets used as collateral from those of the company seeking financing through an ABS.
 - C) acts as an intermediary that purchases an asset from the company issuing an ABS and then resells it to obtain sufficient liquid funds to provide collateral for the ABS.
-

Question #141 of 180

Question ID: 1417896

The following interest rate information is observed:

Spot Rates	
1 year	10%
2 years	11%
3 years	12%

Based on this data, the 2-year forward rate one year from now is *closest* to:

- A) 12%.
 - B) 13%.
 - C) 14%.
-

Question #142 of 180

Question ID: 1417887

Beachballs, Inc., expects abnormally high earnings for the next three years due to the forecast of unusually hot summers. After the 3-year period, their growth will level off to its normal rate of 6%. Dividends and earnings are expected to grow at 20% for years 1 and 2 and 15% in year 3. The last dividend paid was \$1.00. If an investor requires a 10% return on Beachballs, the price she is willing to pay for the stock is *closest* to:

- A) \$26.00.
 - B) \$36.50.
 - C) \$50.00.
-

Question #143 of 180

Question ID: 1417914

Under which of the following conditions does a forward contract have a positive value to the short party at expiration?

- A) The forward price is less than the value of the forward contract.
 - B) The spot price of the underlying asset is less than the forward price.
 - C) The value of the forward contract is less than the spot price of the underlying asset.
-

Question #144 of 180

Question ID: 1417908

Bert Reed owns a junior secured bond of a firm that has entered bankruptcy proceedings. Mia Tano owns a senior unsecured bond of the same firm. As a result of the bankruptcy, Reed and Tano each recover 80% of the interest and principal owed on their bonds. This outcome is *least likely* the result of:

- A) an order of the bankruptcy court.
 - B) the pari passu ranking of these creditors.
 - C) a negotiated settlement among the firm's creditors.
-

Question #145 of 180

Question ID: 1417924

An infrastructure fund invests in a water treatment plant. If an investor in the fund also invests additional funds in the water treatment plant, the investor is *most appropriately* referred to as engaging in:

- A) co-investing.
 - B) direct investing.
 - C) add-on investing.
-

Question #146 of 180

Question ID: 1417894

A repurchase agreement is *most accurately* described as:

- A) an embedded option held by a bondholder.
 - B) a form of credit enhancement in a bond issue.
 - C) a source of short-term funding for a bondholder.
-

Question #147 of 180

Question ID: 1417890

An asset-based valuation model would *most likely* provide a reliable estimate of market value for:

- A) a pure-play online news site.
 - B) a multinational freight distribution firm.
 - C) a privately held metal fabrication company.
-

Question #148 of 180

Question ID: 1417915

Which of the following is *least likely* to change over the life of a derivatives contract?

- A) The futures price.
- B) The risk-free rate.
- C) The forward price.

Question #149 of 180

Question ID: 1417928

A private equity firm that wants to receive money from a portfolio company without giving up control of the portfolio company is *most likely* to engage in:

- A) a trade sale.
 - B) a secondary sale.
 - C) a recapitalization.
-

Question #150 of 180

Question ID: 1379093

If all other factors remain unchanged, which of the following would *most likely* reduce a company's price/earnings ratio?

- A) The dividend payout ratio increases, and the dividend growth rate increases.
 - B) The dividend growth rate increases, and the required rate of return decreases.
 - C) The required rate of return increases, and the dividend payout ratio decreases.
-

Question #151 of 180

Question ID: 1417874

Which of the following statements about types of orders is *least accurate*?

- A) Market orders are orders to buy or sell at the best price available.
 - B) Limit orders are orders to buy or sell at or away from the market price.
 - C) A stop buy order is typically used to protect a short position in a security and is placed below the current market price.
-

Question #152 of 180

Question ID: 1417927

With a soft lockup period of two years, investors in a hedge fund are:

- A) able to get redemptions during the first two years, but only if they pay additional fees.
 - B) able to get redemptions during the first two years, but only if investment results do not meet the target return.
 - C) unable to get redemptions of more than a specified percentage of their fund investment during the first two years.
-

Question #153 of 180

Question ID: 1417898

An analyst obtains a market quote for the two-year forward rate two years from now. To derive the next point on a theoretical annual forward rate curve, the analyst can use:

- A) the two-year and five-year spot rates.
 - B) the three-year and four-year spot rates.
 - C) the three-year and five-year spot rates.
-

Question #154 of 180

Question ID: 1417912

A call option on a \$25 stock with an exercise price of \$30 sells for a premium of \$4. At expiration, the writer of the call will experience a net loss on the option if the stock price is greater than:

- A) \$26.
 - B) \$29.
 - C) \$34.
-

Question #155 of 180

Question ID: 1417888

The required rate of return used in the dividend discount model is *least likely* to be affected by a change in:

- A) the expected rate of inflation.
 - B) the real risk-free rate of return.
 - C) the growth rate of earnings and dividends.
-

Question #156 of 180

Question ID: 1417909

The credit rating agency practice of "notching" is *best* described as:

- A) assigning different ratings to different debt issues from the same issuer.
 - B) downgrading or upgrading the rating of a debt issue or issuer by one increment.
 - C) adding a plus or minus sign to a rating to indicate a positive or negative outlook.
-

Question #157 of 180

Question ID: 1417880

With regard to the implications of stock market efficiency for technical analysis and fundamental analysis, if market prices are:

- A) weak-form efficient, technical analysis that depends only on past trading data should be of limited or no value.
 - B) semistrong-form efficient, fundamental analysis using the top-down approach should yield consistently superior returns.
 - C) semistrong-form efficient, fundamental analysis using only publicly available market information should generate abnormal returns after considering risk and transaction costs.
-

Question #158 of 180

Question ID: 1417889

The following data pertains to a firm's common stock:

- The stock will pay no dividends for two years.
- The dividend three years from now is expected to be \$1.
- Dividends are expected to grow at a 7% rate from that point onward.

If an investor requires a 17% return on this investment, how much will the investor be willing to pay for this stock now?

- A)** \$6.24.
 - B)** \$7.31.
 - C)** \$8.26.
-

Question #159 of 180

Question ID: 1417918

A bank borrows for 360 days and simultaneously lends the proceeds for 90 days. This transaction creates a synthetic forward rate agreement (FRA) *closest* to:

- A)** a long position in a 90-day FRA on 270-day LIBOR.
 - B)** a long position in a 90-day FRA on 360-day LIBOR.
 - C)** a short position in a 360-day FRA on 90-day LIBOR.
-

Question #160 of 180

Question ID: 1417897

An analyst needs to estimate the value of an illiquid 7% BB+ rated bond that has eight years to maturity. Using matrix pricing, the analyst should *most appropriately* base an estimate for this bond on yields of:

- A)** on-the-run eight-year government bonds.
 - B)** more frequently traded bonds rated BB+.
 - C)** other BB+ rated bonds with similar liquidity to this bond.
-

Question #161 of 180

Question ID: 1417910

Acme Holdings operates in an industry for which three-year average financial ratios by credit rating are as follows:

Ratio	AAA	AA	A	BBB	BB	B	CCC
FCF/debt	32.0%	25.9%	21.8%	18.7%	12.3%	7.0%	3.1%
Debt/EBITDA	0.9×	1.3×	1.5×	1.9×	2.3×	3.5×	5.0×

If Acme has a three-year average debt-to-EBITDA ratio of 2.4 and a free cash flow to debt ratio of 7.1, its credit rating is *most likely* to be:

- A) investment grade.
 - B) below investment grade.
 - C) borderline investment grade.
-

Question #162 of 180

Question ID: 1417902

Commercial mortgage-backed securities (CMBS) loans typically have greater call protection than agency MBS loans because:

- A) commercial mortgages may have yield maintenance charges.
 - B) smaller-sized mortgages typically are not refinanced if interest rates fall.
 - C) CMBS typically receive higher credit ratings from credit agencies than residential MBS.
-

Question #163 of 180

Question ID: 1417882

Which of the following firms' earnings are likely to exhibit the greatest degree of sensitivity to the business cycle?

- A) Furniture producer with high fixed costs as a proportion of total costs.
 - B) Entertainment producer with high variable costs as a proportion of total costs.
 - C) Food and beverage producer with high fixed costs as a proportion of total costs.
-

Question #164 of 180

Question ID: 1417920

An American-style call option is *most likely* to be more valuable than an otherwise equivalent European-style call option if:

- A) the call is deep in the money.
 - B) its underlying asset is a semiannual-pay bond.
 - C) implied volatility increases during the life of the call.
-

Question #165 of 180

Question ID: 1417891

For a domestic investor purchasing bonds in a foreign market and currency:

- A) appreciation of both the asset and the foreign currency benefits the domestic investor.
 - B) depreciation of both the asset and the foreign currency benefits the domestic investor.
 - C) appreciation of the asset and depreciation of the foreign currency benefit the domestic investor.
-

Question #166 of 180

Question ID: 1417881

The type of share voting *most likely* to result in significant minority shareholders having an approximately proportional representation on the board of directors is:

- A) statutory voting.
 - B) weighted voting.
 - C) cumulative voting.
-

Question #167 of 180

Question ID: 1417876

Which of the following indexes is *most likely* to be rebalanced on a regular basis?

- A) Price-weighted index.
 - B) Equal-weighted index.
 - C) Market-capitalization weighted index.
-

Question #168 of 180

Question ID: 1417975

Which of the following is *least likely* a benefit of fund of funds (FOF) investing?

- A) FOFs may permit access to otherwise unavailable hedge funds.
 - B) FOFs allow investors to diversify the risks of holding a single hedge fund.
 - C) FoF investing has lower fees compared to investing in a typical hedge fund.
-

Question #169 of 180

Question ID: 1417899

Jefferson Blake, CFA, believes there is a good opportunity to purchase an option-free 4% annual pay bond with three years left until maturity, a zero-volatility spread of 40 basis points, and a par value of \$1,000. Blake observes that 1-year, 2-year, and 3-year government bond spot rates are currently 4.0%, 4.5%, and 4.75%, respectively. The maximum price Blake should be willing to pay for the bond is *closest* to:

- A) \$940.
 - B) \$970.
 - C) \$980.
-

Question #170 of 180

Question ID: 1417923

Which provision of an alternative investment partnership's incentive fees is designed to prevent investors from paying multiple incentive fees for the same performance?

- A) Hurdle rate.
- B) High water mark.
- C) Clawback provision

Question #171 of 180

Question ID: 1417885

Over the most recent period, Ladden Materials has seen slow growth, increased competition, and declining profitability in its industry. The phase of the industry life cycle for Ladden's industry is *most likely*:

- A)** mature.
 - B)** decline.
 - C)** shakeout.
-

Question #172 of 180

Question ID: 1417913

Derivatives markets are *most likely* to:

- A)** reduce transactions costs.
 - B)** increase speculation and risk.
 - C)** provide arbitrage opportunities to investors.
-

Question #173 of 180

Question ID: 1417903

Reinvestment risk is *least likely*:

- A)** minimized with zero-coupon bond issues.
 - B)** more problematic for those investors with longer time horizons.
 - C)** more problematic when the current coupons being reinvested are relatively small.
-

Question #174 of 180

Question ID: 1417907

A duration gap is *most accurately* described as a difference between a bond's:

- A)** Macaulay duration and effective duration.

- B) duration and the bondholder's investment horizon.
 - C) actual change in value and the change estimated using duration and convexity.
-

Question #175 of 180

Question ID: 1417922

Which of the following is *most likely* to represent the management fees of a private capital fund?

- A) 2% of invested capital.
 - B) 3% of committed capital.
 - C) 1% of drawn-down capital.
-

Question #176 of 180

Question ID: 1417877

Mike Bowers observes that during one year the return on the S&P 500 index is 20%. Recalculating the return on an equally weighted basis, Bowers estimates that the index return is 15%. The difference in the two calculations of return is *best* explained by:

- A) large capitalization stocks outperforming small capitalization stocks.
 - B) small capitalization stocks outperforming large capitalization stocks.
 - C) dividends on the stocks in the index.
-

Question #177 of 180

Question ID: 1417875

Which of the following is *most accurate* regarding the relationship between operational efficiency and informational efficiency?

- A) Operational efficiency contributes to informational efficiency.
 - B) Informational efficiency is independent of operational efficiency.
 - C) There is a trade-off between operational efficiency and informational efficiency.
-

Question #178 of 180

Question ID: 1417925

A hedge fund's lockup period is the time during which:

- A)** the fund is closed to new investors.
 - B)** an investor may not redeem shares in the fund.
 - C)** the fund must return cash to an investor who has requested a redemption.
-

Question #179 of 180

Question ID: 1417916

Derivatives pricing is based on the assumption that:

- A)** no arbitrage occurs.
 - B)** the law of one price holds.
 - C)** long and short investors are net risk-neutral.
-

Question #180 of 180

Question ID: 1417904

Siegel, Inc., has issued bonds maturing in 15 years but callable at any time after the first 8 years. The bonds have a coupon rate of 6%, and are currently trading at \$992 per \$1,000 par value. If interest rates decline over the next few years:

- A)** the call option embedded in the bonds will increase in value, but the price of the bond will decrease.
- B)** the price of the bond will increase, but likely by less than a comparable bond with no embedded option.
- C)** the price of the bond will increase, primarily as a result of the increasing value of the call option.